



PHOTO BY RAJWAT RAWAT

PRATEEK MAHESHWARI, Co-founder, PhysicsWallah

cial disciplines become most critical as a start-up transitions from a private-market mindset to public-market scrutiny?

Our decision to go public was driven by a commitment to institutional governance and a focus on measured, profitable growth. We wanted to ensure that unit economics across every business unit remained the primary filter for our expansion. We are still only at 2% of the total market size and being a listed entity helps us become a national brand, providing the transparency required to build long-term value for the public markets. Financially and operationally, the focus shifts to transparency in communication. It is about proving that our

mission-driven model is backed by a resilient bottom line.

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How has PhysicsWallah's approach to governance evolved as the company scaled? What aspects of governance matter most when building a business for the long term rather than just IPO readiness?

Governance at PhysicsWallah was never something we switched on just for IPO readiness. It has always been central to how we built the company as it scaled from its earliest days. We recognised early on that strong governance is the only way to build lasting trust with our students, teachers, employees and investors. To institutionalise this discipline, we

partnered with a Big 4 firm as our statutory auditor and established an independent board of seasoned directors to provide rigorous oversight. This systematic approach ensures that transparency and ethical decision-making are embedded into the daily DNA of the business.

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When revenue is growing steadily but expenses are rising, how do you evaluate the overall health of the business, and what strategies are you focusing on to control costs while maintaining growth?

At PhysicsWallah, the key markers are improving operating cash flows, followed by an upward trajectory towards profitability. Our philosophy is rooted in frugality and humility. Our online business operates at superior margins due to the significant scale we have achieved. For our offline expansion, which reached 314 centres as of September 30, 2025, we follow a playbook backed by proven centre-level box economics. While offline growth is capital-intensive and centres typically take 18 to 24 months to reach profitability, we track these investments through rigorous cohort analysis and payback periods. For us, cost control is not about pulling back on growth, but about enforcing disciplined spending with clear return benchmarks. Education is a compounding

business. We believe the seeds we are sowing today through these investments will create long-term shareholder value as our cohorts continue to mature.

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What do you think public-market investors often misunderstand about new-age tech businesses, and how can founders better bridge that gap?

Public market investors, including retail investors, are far more thoughtful today than many realise. That is exactly why they invest in them. We now have a solid group of large-cap tech companies in the public market that have set the highest standards for reporting and transparency. The perceived gap usually isn't about a lack of understanding, but rather a need for clearer context on how engagement metrics translate into revenue and cash flows. We are fortunate to have a great set of investors who joined us in our IPO journey and believe in this vision. To truly bridge the gap, founders must provide transparency into how cohorts evolve. When we shift the narrative from growth at all costs to profitability built on trust and outcomes, investors lean in.

They are ready to underwrite both the scale and staying power of businesses that connect brand love to a sustainable bottom line. **BT**

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